pooling of dollars should be regarded as having ended on December 31, 1945, and that any dollars which India earned and paid into the Pool since January 1, 1946, should be isolated and not taken into account while negotiating the general settlement of the Pool. These earnings were to be retained by the British government for meeting India's expenditure in the US on account of food imports. Sir Eric Coates did not act on these proposals as he was stepping down from office on September 2, and the matter was not pursued further by either Deshmukh or the next Finance Member, as by the end of 1946 India had become a net drawer from the Dollar Pool.

NEGOTIATIONS ON THE STERLING BALANCES

The first official discussions between the governments of UK and India on the sterling balances did not take place until February 1947 though there had been press reports that the Treasury had asked the Government of India to send a delegation to London for talks in July or August 1946. A British delegation led by Sir Wilfred Eady, Permanent Secretary in the Treasury, accompanied by Cameron Cobbold (later Lord), Deputy Governor of the Bank of England visited India in early February 1947. The Indian side was headed by V. Narahari Rao, the Finance Secretary. The other senior members were Sir Raghavan Pillai, Joint Secretary, Commerce Department; Choudhary Mohammed Ali, Financial Adviser, Military Finance; B.K. Nehru; and Keith Roy, Private Secretary to the Finance Member. The RBI was represented by J.V. Joshi and Ram Nath.

The late B.K. Nehru of the ICS who has written about these talks in his memoirs says that there was a great deal of back and forth with no concrete result. At one session, Eady started abusing the Indian delegation in the most unfair and most objectionable terms. It enraged Nehru that Narahari Rao heard this abuse silently. At a dinner that same night, a furious Nehru sat through the dinner in silence and cut short any attempts at conversation from any member of the British delegation. At the end of the dinner, Eady came to Nehru, sat next to him, and proceeded to give him a long lecture on diplomacy. He said that it was obvious that Nehru was hurt at the treatment meted out to them in the morning but that he should not take it to heart as abuse was also a diplomatic ploy. One had to try every kind of approach